

Meta Platforms, Inc.

META NASDAQ

Buy	\$605.28 ▲ 1.70%	12M Price Target \$720.00	52-Week Range \$520.26 – \$796.25	Market Cap \$1.54T
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META: Earnings Setup Looks Juicy, Options Flow Screams Bullish

WHAT HAPPENED

- Stock ticked up 1.7% today but is still down ~6% from last Tuesday's \$644 — that's classic pre-earnings de-risking (investors trimming before the July 29 report so they don't get burned). The bounce today is buyers starting to nibble because the setup looks favorable.
- Options market is flashing loud bullish signals — the put/call ratio is 0.31 (meaning ~3 call bets for every 1 put bet, way above normal), and someone slammed 18,600 call contracts at the \$610 strike. Translation: big money is positioning for an upside earnings surprise.

WHY IT MATTERS

The narrative going into Wednesday's earnings is that META is one of the few Big Tech names that can actually convert AI spending into real revenue right now — through better ad targeting on Instagram and Reels. That Yahoo headline about Apple dethroning Nvidia by "avoiding capex pitfalls" is actually a warning shot at META, which is spending ~\$70B+ on AI infrastructure this year, so Zuckerberg needs to show that capex is translating into monetization or the market will punish him. The COO selling ~\$680K of stock is not a red flag (small, likely scheduled), and the fact that Motley Fool and 24/7 Wall St. are both publishing bullish pre-earnings pieces tells me sentiment has quietly reset positive after that pullback. Bottom line: the risk/reward into Wednesday looks skewed up — expectations got trimmed, positioning is aggressive on calls, and the fundamentals (ad market strength) haven't cracked.

POLICY & POLITICAL WATCH

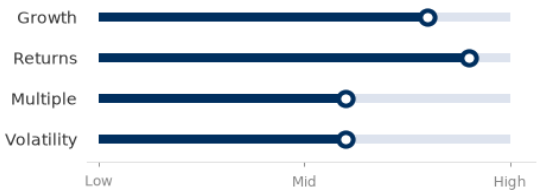
The big overhang is the FTC antitrust case where the government is still pushing to force META to divest Instagram and WhatsApp — that trial verdict is the single biggest binary risk to the stock, though the current administration has been noticeably less aggressive on Big Tech breakups than the prior one. On the tailwind side, the ongoing debate over Section 230 reform (the law that shields social platforms from liability for user content) has stalled in Congress, which is quietly good for META — no news is good news. Also worth watching: the EU Digital Services Act fines have been getting more aggressive, and any new penalty could shave a few percent off international revenue.

IS IT EXPENSIVE?

Key Data

Price (USD)	\$605.28
12M Price Target	\$720.00
Upside / (Downside)	+19.0%
Market Cap	\$1.54T
FY2026E Revenue	\$195M
FY2027E Revenue	\$225M
FY2026E EPS	\$27.50
FY2027E EPS	\$32.00
Fwd P/E	22.0x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$680.00	\$630.00	\$560.00
6 Months	\$750.00	\$680.00	\$540.00
1 Year	\$820.00	\$720.00	\$520.00
2 Years	\$950.00	\$800.00	\$500.00
5 Years	\$1400.00	\$1000.00	\$450.00
10 Years	\$2200.00	\$1500.00	\$400.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Communication Services (+2.88% today) is leading the tape, and META is 20%+ of that ETF, so the rising tide is helping. Consumer Staples and Real Estate also bid — that's a mild "risk-off with a growth tilt" flavor, which is actually fine for mega-cap quality names like META.

COOLING OFF: Pure AI infrastructure plays are cooling as the "capex fatigue" narrative gains traction — Nvidia losing the crown to Apple today is the tell. Investors want AI winners, not AI spenders.

ROTATION WATCH: Money is rotating from "picks and shovels" AI (chips, infra) toward "AI monetizers" (companies actually turning AI into revenue). META sits squarely in the monetizer bucket, which is why it's holding up better than expected.

RELATED PLAY: If the "AI monetizer over AI spender" rotation continues, GOOGL (Alphabet) is the second-order beneficiary — same setup, similar earnings catalyst, arguably cheaper.

WHO'S WINNING IN THIS SPACE?

- AAPL (Apple): Just took the market cap crown from NVDA — the market is rewarding disciplined capex and services-driven margins, which frames what META needs to show Wednesday.
- GOOGL (Alphabet): Trading well into its own earnings, same "cheap Mag 7 with AI leverage" story as META.

META CONTEXT: META is lagging its Mag 7 peers over the past week (down ~6% while AAPL rips) purely because it reports first and traders are de-risked. This is lagging for a technical reason, not a fundamental one — which historically has been a good setup for a beat-and-rally.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

CONVICTION: 8/10 — Setup into earnings looks genuinely favorable: sentiment reset, options flow bullish, valuation reasonable, and ad business still the best in the world.

POSITION SIZE: 4-6% of portfolio — big enough to matter, small enough that a bad earnings print doesn't wreck you.

ENTRY POINTS: I'd own some going into Wednesday given the flow signals, but keep dry powder to add on any knee-jerk selloff to \$580 or below post-earnings.

TIME HORIZON: 12-18 months — the catalyst chain is Q2 earnings → holiday ad season → AI monetization proof points in 2027 guidance.

WHEN TO BAIL: If capex balloons past \$100B for 2027 without a revenue plan, or if the FTC gets a favorable divestiture ruling, get out fast.

HEDGING: If you're nervous about Wednesday, just buy a cheap put (a contract that pays off if the stock falls) at the \$580 strike for July 31 — costs a small premium but caps your downside through the earnings print.